

Industrial revenue bonds (municipal bonds subject to the alternative minimum tax)

Convertible bonds

Preferred stock and convertible preferred stock

3. Mortgages

Government National Mortgage Association (GNMA)

Federal Home Loan Mortgage Corporation (FHLMC)

Federal National Mortgage Association (FNMA)

4. Asset-backed securities

Pooled credit card receivables (Bank One, CitiGroup)

Pooled auto loans (Ford, GM)

Pooled home equity loans and other bank receivables

5. Foreign bonds

Developed markets (sovereign and corporate)

Emerging markets debt (sovereign, Brady, and corporate)

FIXED-INCOME RISK AND RETURN

The expected risk and return of various U.S. fixed-income investments can be categorized on a two-axis Morningstar Fixed-Income Style Box, as illustrated in [Figure 8-1](#). The fixed-income style box is a nine-square box that gives you a visual snapshot of a fund's credit quality and duration. The style box allows investors to quickly gauge the risk exposure of their bond fund.

The horizontal axis of [Figure 8-1](#) represents the maturity of a bond, and the vertical axis represents its creditworthiness. The two-axis model of bond maturity and creditworthiness explains much of the risk and return associated with fixed-income investments. The more risk there is in a bond, the greater the expected return. [Figure 8-2](#) illustrates this relationship.

FIGURE 8-1

Fixed-Income Maturity and Credit Risk Grid